increase their influence, and they already possess the resources to act independently of the United States and Bretton Woods institutions.

In the past, the United States and other Western countries successfully coopted systemically important powers into the incumbent order while nonetheless blocking them from significant advancement within global institutions, which would threaten Western dominance and leadership positions. The BRICS are now in a position to share leadership in global governance, and some Chinese analysts expect that their greater economic weight will carry greater decision-making clout.[7]

Nonetheless, the most important obstacle to the long-term sustainability of the BRICS may be the weakness of their own domestic institutions: they have met the enemy, and it is themselves. All the BRICS suffer from high levels of corruption and weak institutions and need to return to their origins in the Goldman Sachs idea that the future favored fast-growing, large economies. Further, such domestic weakness could cost them future economic growth and institutional prowess, as the BRICS face the power of global financial markets. As shown in Chapter 2, all the BRICS recently have slowed economically; in fact, three (Russia, Brazil, and South Africa) have suffered from serious bouts of economic stagnation that threaten the legitimacy of the BRICS brand. The weakness of the BRICS' domestic institutions is accentuating slow growth, making all wonder: "Whither the BRICS?"

GROWTH: THE ESSENTIAL NEED TO RETURN TO THE BRICS' ROOTS

To overcome their mounting challenges, the IMF and the World Bank have repeatedly warned that the authorities in the BRICS countries must take urgent action to overhaul their economies to make them more productive, competitive, and better governed.[8] The recipes are different for each country, but many include allowing greater private-sector investment, labor-market reforms, stronger protections for intellectual-property rights, and bolstering the judiciary systems and rule of law. The BRICS' current growth leaders, India and China, are the world's largest democracy and the world's largest autocracy, but both need to improve the quality of their governance to sustain positive growth forecasts. China now has the world's largest middle class and a burgeoning research and development (R&D) sector. Yet China struggles to allow market forces to have a greater role, and the economy is heavily dependent on credit. In India, less than 3 percent of the population has incomes that might be considered middle class by global standards, while